

Table 2.4 Cost Estimation

Study	Structure	Factors
Chan and Lakonishok (1997)	Linear	Size, Volatility, Trade Time, Log(Price)
Keim and Madhavan (1997)	Log-Linear	Size, Mkt Cap, Style, Price
Barra (1997)	Non-Linear	Size, Volume, Trading Intensity, Elasticity, etc.
Bertsimas and Lo (1998)	Linear	Size, Market Conditions, Private Information
Almgren and Chriss (2000)	Non-Linear	Size, Volume, Sequence of Trade
Breen, Hoodrisk, and Korajczyk (2002)	Linear	14 Factors - Size, Volatility, Volume, etc.
Kissell and Glantz (2003)	Non-Linear	Size, Volatility, Mkt Conditions, Seq. of Trades
Lillo, Farmer, and Mantegna (2004)	Non-Linear	Order Size, Mkt Cap

Table 2.5 Trade Cost Optimization

Study	Optimization Technique
Bertsimas and Lo (1998)	Price Impact and Private Information
Almgren and Chriss (2000)	Risk Aversion, Value at Risk
Kissell and Glantz (2003)	Risk Aversion, Value at Risk, Price Improvement
Kissell and Malamut (2006)	Trading and Investing Consistency

Historically, companies were either listed on an exchange such as the New York Stock Exchange (NYSE) and traded primarily on that stock exchange floor or listed on the over-the-counter (OTC) market and traded primarily in the National Association of Securities Dealers Automated Quotation (NASDAQ) market. The NYSE market was primarily comprised of established blue chip companies; companies with strong balance sheets, low volatility, and a long history of earnings and dividends. They were household names such as GE, IBM, Ford, AT&T, etc. The NASDAQ market was primarily comprised of newer and smaller companies and attracted technology companies such as MSFT, WorldCom, Red Hat, Ebay, Amazon, etc. Many of these smaller companies at the time of their IPO did not have the large balance sheets or a long history of earnings or dividends, thus making their stocks more volatile in general.

Listed securities transacted more than 90% of their volume on the NYSE. Customers would use brokers to help route orders to the specialist. Limit orders would be entered into the specialist's central order book which included all customer limit orders from all member brokers. They would